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**A redefined,
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IBC 2.0—is
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GOING FROM REFORM TO REINVENTION

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▶ **INDIA'S JOURNEY** with stressed asset resolution has historically been fragmented—spanning laws like the Sick Industrial Companies (Special Provisions) Act (SICA), the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act (SARFAESI), and the Recovery of Debts Due to Banks and Financial Institutions Act (RDDBFI). The enactment of the Insolvency and Bankruptcy Code (IBC) in 2016 marked a groundbreaking reform, bringing unified, time-bound insolvency resolution under one framework.

While the IBC has successfully fulfilled its foundational purpose, it now needs to evolve to address emerging economic realities and system constraints. A redefined, next-generation framework—IBC 2.0—is required to improve speed, revive smaller businesses, and align with global best practices:

A. INSTITUTIONALISING PRE-PACK AND OUT-OF-COURT MECHANISMS

Globally, out-of-court restruc-

turing dominates early-stage resolutions. India's pilot pre-pack for MSMEs is a promising first step, but a robust legal framework for scalable pre-packs across industries is essential. By encouraging early engagement and negotiated solutions, this will reduce judicial burden and protect enterprise value—especially critical in cyclical or capital-intensive sectors.

B. STRENGTHENING THE JUDICIAL BACKBONE

Delays in adjudication remain the Achilles' heel of the IBC. In mature economies, specialised bankruptcy courts are central to efficient resolution. India must invest in a tiered and specialised judicial system.

C. EMPOWERING MSMEs

MSMEs contribute approximately 30% of India's GDP, yet they continue to face significant structural barriers in accessing effective insolvency resolution mechanisms. Recognising this challenge, several advanced jurisdictions have introduced streamlined, debtor-in-possession frameworks.

India must similarly prioritise the development of a dedicated, low-cost, and expedited restructur-